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TAM CAPITAL

ACCOUNT OPENING & CLIENT ACCEPTANCE PROCEDURES

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1. INTRODUCTION

The Account Opening & Client Acceptance Procedures are an enforceable document that has been approved by the CEO of Tam Capital ("Company"). It represents an enforceable document relating to account opening.

The purpose of these procedures is to provide a documented process of the account opening and client acceptance processes employed by Tam Capital in line with CMA regulations and best practices. The document provides guidance for the steps involved in opening the account from investors' side as well as the account opening function of the Company.

2. REFERENCE TO OTHER DOCUMENTS

The following documents and regulations are referenced in this procedure:

- Capital Market Authority (CMA) Rules and Regulations, especially Investment Account Opening Instructions (IAI)
- Anti-Money Laundering (AML) and Counter-Terrorist Financing (CTF) Laws in Saudi Arabia including Know Your Customer (KYC) and Customer Due Diligence (CDD) Guidelines
- The Financial Action Task Force (FATF) Recommendations
- Internal Policies and Procedures of Tam Capital

3. ACCOUNT OPENING & DUE DILIGENCE PROCESS

The below procedures will facilitate Tam Capital in managing the Know Your Customer (KYC), Money Laundering Indicators and Account Opening Procedures as per Regulations in an efficient and effective manner. The procedures are as follows:

Know Your Customer

The Company's employees should observe the "Know Your Customer" guidelines before the establishment of any business relationship and when monitoring the investment account. Employees must have knowledge of their customers' information and details, source of funds, and transactions. However, their observance should not affect Company's relationship with its customers.

Pre-Account Opening

- The submission of all documents required under this procedure is a prerequisite for account opening for all customers. Incomplete application (including incomplete documentation) is to be rejected. Tam Capital follows the industry standard for implementing customer identification procedure. However, proof of identity and address proof will be verified based on documentation provided. In case there is a deviation from the above then the approval of any senior person or management shall be taken and the process shall be completed.
- Account must be opened for a new investor, only after ensuring that pre account opening KYC documentation and procedures are conducted.
- It is important to bear in mind that the adoption of customer acceptance procedures and its implementation should not become too restrictive and must not result in denial of services to general public.
- In addition to the above mentioned requirements that must be checked and verified before accepting any prospective clients, the Company also applies the following requirements as part of its AML-CTF Framework:

  i) Before accepting any client and opening an investment account for him, the Company must ensure his compliance with all of his obligations stated in the Capital Market Law and its Implementing Regulations, in addition to the Anti-Money Laundering Law and its Implementing Regulations, and the Law of Terrorism Crimes and Financing.

  ii) When accepting a client, Tam Capital must not provide any services related to the securities business (managing) before signing an investment account opening agreement with such client which contains all information mentioned in Article (4) of IAI, and then opening of the investment account for him.

  iii) Whenever these Instructions require from Tam Capital to obtain the Authority's approval for opening an investment account, the Company must first obtain all documents required in accordance with these instructions to open that investment account, and clarify on each document`s copy the requirement which the document was

obtained for, then have those documents sent along with the approval request to the Authority by the Chief Executive Officer or his delegate.

iv) The Company may rely on a third party in the customer due diligence requirements in accordance with the related provisions of the Anti-Money Laundering Laws and Combating- Terrorism Crimes and its Financing Law when opening an investment account for any person that these Instructions permit opening an investment account for him.

v) The Company must identify and verify the actual relationship between the clients and the natural persons who open or operate investment accounts on their behalf such as their representatives, guardians, agents, trustees, or authorised signatories according to the relevant provisions in the Anti-Money Laundering Laws and Combating- Terrorism Crimes and its Financing Law.

vi) Without prejudice of Clause (d) of Article 3 IAI, in all cases in which these Instructions require the authentication of the documents copies, the Company must check the original documents, take a copy of them, then sign on the copy and stamp it with official stamp confirming that the copy matches the original.

<u>Natural Persons</u>

Accounts shall be opened for the following:

- Saudi nationals:
  - To open an investment account for a Saudi natural person, Company must obtain and verify the client's valid national identification card information.
- Citizens GCC Member States
  - To open an investment account for a citizen of a GCC member state, Company must obtain and verify the client's valid passport or national identification card information.
- Foreigners Residing in the Kingdom:

  Foreign Residents Carrying a Residence Permit (Iqama) or Resident Identity

  To open an investment account for a foreign resident who holds a residence permit (Iqama) or resident identity, Company must obtain and verify his valid residence permit (Iqama) or resident identity information.

  Holders of the Premium Residency Card

  To open an investment account for a holder of a premium residency card, Company must obtain and verify the valid premium residency card information.

Members of the Diplomatic Missions in the Kingdom

To open an investment account for a member of a diplomatic mission in the Kingdom, Company must obtain and verify an identification letter from the member's embassy and the member's valid diplomatic identity card information.

Special Provisions for Opening Investment Accounts for Natural Persons:

Opening an Investment Account for a Blind Person or a Person Unable to Read

i) When opening an investment account for a blind client or a client unable to read, the client shall be entitled to have a personal referee in attendance to explain to him the investment account opening procedures and terms and conditions stated in the investment account opening agreement. In cases where the client does not have a personal referee in attendance, an employee of Tam Capital must explain the procedures to him, and an officer in the branch or the main offices of Tam Capital must certify that the client was provided with all information of Know Your Customer Form and investment account opening agreement, and that terms and conditions of the investment account were read to him, and he acknowledged that he bears all responsibilities of opening that investment account.

ii) The referee of the blind person or the person unable to read must be a natural person with full legal capacity who personally knows the blind person or the person unable to read intending to open an investment account; hold a valid identification document; be able to explain the investment account opening procedures to the blind person or the person unable to read; be able to read the terms and conditions of the investment account opening agreement; and provide an acknowledgement in writing of such.

iii) The valid identification document information of the personal referee must be obtained and verified.

iv) When an investment account is opened for a blind client or a client unable to read, such client shall not be allowed to use any services provided by telephone or electronic channels for operating the investment account until one of the Company's employees or his personal referee reads to him the terms and conditions related to such services and the Company informs him that such services are provided to him based on his will, choice, and awareness of the risks associated with using such services and the client's legal liability for all transactions executed through such services. Tam Capital shall also obtain a written acknowledgement signed by the client indicating that he understands the above terms.

v) With the exception of any transactions carried out by telephone or electronic channels, in order for Tam Capital to accept any instructions from a blind client or a client unable to read, the Company must obtain the client's signature on such instructions with the client's awareness and responsibility of the instructions he signs. Also, if the blind client or the client unable to read was accepted as a client with a personal referee when opening the account, Company must obtain an acknowledgement in writing signed by

a personal referee that meets the conditions stated in subparagraph above that the client is aware of the procedure's nature and that he bears liability as a personal referee.

Opening an Investment Account for Persons Under the Age of (18) Hijri Calendar Years:

i) An investment account for a person under the age of (18) Hijri calendar years is opened by a guardian, provided that the investment account is under the name of the client and operated by the guardian.
ii) The valid identification document information of the client who is under the age of (18) Hijri calendar years and the identification document information of his guardian must be obtained and verified.
iii) If the client is a Saudi citizen under the age of (15) Hijri calendar years, the family card information that shows the client's information and the valid national identification card information of his guardian must be obtained and verified, without requiring the client to provide a national identification card.
iv) If the client is under the age of (18) Hijri calendar years and under legal guardianship, Company must obtain and verify a copy of the guardian's deed issued by the competent court and comply with all its provisions.
v) If the client is a foreigner under the age of (18) Hijri calendar years and his name is added to another person's residence permit (Iqama) or resident identity, the information of the valid residence permit (Iqama) or resident identity (to which the client's name is added) must be obtained and verified, provided that the investment account is under the name of the client and opened and operated by the holder of the residence permit (Iqama) or the resident identity to which the client is added.
vi) Company must carry out customer due diligence measures in relation to the guardian, and the guardian when acting on behalf of the client under the age of (18) Hijri calendar years shall comply with all legal responsibilities applicable to such client.

Opening an Investment Account for an Incapacitated Person

i) An investment account for an incapacitated person is opened by his guardian, provided that the account is in the name of the client and operated by his guardian.
ii) Company must obtain and verify information of the guardian identification document and information of the identification card of the incapacitated client above the age of (18) Hijri calendar years or information of the family card if the client is below the age of (15) Hijri calendar years.
iii) A copy of a final decision or a decision subject to expeditious execution issued by the competent court which illustrates that the client for whom the investment account is to be opened is considered incapacitated must be obtained and verified, and Company must comply with all its provisions.
iv) Company must carry out customer due diligence measures in relation to the guardian, and the guardian when acting on behalf of the incapacitated client shall comply with all legal responsibilities applicable to such client.

Opening and Operating the Investment Account by Power of Attorney:

The Company shall accept a power of attorney to open or operate an investment account for his client whenever the following conditions are met:

i) The power of attorney is issued by the Notary Public, a person licensed as a notary, or out of the Kingdom and certified by the Saudi Embassy or Consulate at the issuing country and the Ministry of Foreign Affairs in the Kingdom.
ii) The attorney-in-fact is a relative of the client as a parent, son, daughter, spouse, brother, or sister or appointed by heirs to liquidate the investment account of the deceased and close it.
iii) The power of attorney must be issued by the client or the guardian if the client is under the age of (18) Hijri calendar years, and any power of attorney issued by the attorney-in-fact on behalf of the client shall not be accepted.
iv) Tam Capital must verify the validity of the power of attorney and that it explicitly states the powers given to the attorney-in-fact, whether it is opening an investment account, operating it, performing transfers, purchasing or selling securities, or closing the investment account, and the Company must comply with the provisions of the power of attorney.
v) The Company shall not accept any power of attorney except for that set out in paragraph (a) of this Article.

Opening accounts for Legal persons:

For all clients that are legal persons, Tam Capital to obtain sufficient information about the nature of their business, its ownership and board of directors and senior management and control structure, and If the chairman of the board meets the definition of a politically exposed person, the company is classified as PEP so that it can identify the individual(s) that ultimately own(s) or control(s) the client. Specimen signatures shall be obtained for all account signatories.

Opening Investment Accounts for Saudi Companies and Companies from GCC Member States

i) To open an investment account for a Saudi company, the company must be incorporated in accordance with the Companies Law, and to open an investment account for a company from a GCC member state, the company must fall within the scope of the definition of a GCC legal person.
ii) Unless the company is listed on the Exchange, the company's bylaws, shareholders assembly resolution, articles of association, or partners' resolution must provide that the company is permitted to invest in securities.
iii) To open an investment account for a Saudi or GCC company, Company may use the guidance list of documents provided in Annex (1) of the IAI by obtaining copies of the documents and verifying them.
iv) When opening an investment account for a listed company on the Exchange (excluding banks and insurance companies) or an affiliate of the listed company included in its

consolidated financial statements, Company must comply with the following additional conditions:

v) The listed company's investment in securities listed on the Exchange shall be based on a Board of Directors' resolution of the listed company and the company that the investment account is to be opened for (if it is an affiliate of that company). Such resolution shall also determine the investment controls, and prior to opening the investment account, Company must obtain and verify a copy of the resolution.

vi) Unless the investment of the listed company, or that of its affiliate, is for one year (in which period the company commits not to sell the security before the elapsing of one year from the time of last purchase of the security issued by the same issuer), the investment in securities must be through an investment fund or investment portfolio managed by Tam Capital based on a management contract, which clearly states that there is a complete segregation between the listed company, its affiliates, and the investment decisions, and that the terms of contract do not conflict with such requirement. Company must ensure that the terms of contract are in accordance with these controls prior to signing the management contract with the listed company or its affiliate.

vii) Company will notify the Authority without delay of any management contract signed with any listed company or its affiliate and refer to the number of the investment account opened for such purpose and the number of the investment portfolio linked to it.

Opening Investment Accounts for Qualified Foreign investors

To open an investment account for a qualified foreign investor in accordance with the provisions of the Rules for Qualified Foreign Financial Institutions Investment in Listed Securities, Company may use the guidance list of documents provided in Annex (2) of the IAI by obtaining copies of the documents and verifying them.

Opening Investment Accounts for Funds Owned by a Governmental Entity

i) Company may open an investment account for a fund of a governmental entity, provided that the fund is fully owned by a Saudi governmental entity or a governmental entity of a GCC member state.

ii) The Company, when opening an investment account for the fund referred to in paragraph (1) above, must obtain copies of the following documents and verify them:
   - The fund's bylaws.
   - The issued resolution assigning the authorised signatories to open and operate the investment account of the fund and their valid identity documents.
   - The fund's articles of association (if any) and its annexes, which clearly show the structure of the fund's capital and its management.
   - Documents that show the names of members of the Board of Directors.

Opening Investment Accounts for Non-profit Organizations in the Kingdom

When opening an investment account for a Non-profit Organization in the Kingdom, the Company to obtain copies of the following documents and verify them:

i) The license issued by the competent authority.
ii) The bylaws that have an express provision permitting the Non-profit Organization to invest in securities, and if the Non-profit Organization's bylaws do not explicitly state that, Company to obtain a letter from the Non-profit Organization licensing authority stating its approval to invest in securities.
iii) The Board of Directors' resolution approving the opening of the investment account and assigning the authorised signatories to operate the investment account.

Opening Investment Accounts for Endowments

i) When opening an investment account for an endowment in the Kingdom, Company must obtain copies of the following documents and verify them:
    - The deed of endowment and the deed of trusteeship.
    - National identification card of the endowment's trustee / board of trustees.
    - The resolution of the trustee or the board of trustees (if there is a board of trustees) approving the opening of the investment account and assigning the authorised signatories to operate the investment account.

ii) The deed of endowment must include a provision that permits investment in securities, or the trustee must provide a letter from the governmental authority that supervises the endowment granting its approval to invest in securities and also granting permission to the authorised signatories to operate the investment account (if the endowment's trustee or the board of trustees delegates the power to operate such account.)

Opening Investment Accounts for Governmental Entities

To open an investment account for a governmental entity (Saudi or from another GCC member state), Company must obtain copies of the following documents and verify them:

i) The main documents of the governmental entity according to its administrative regulations and relevant laws.
ii) The resolution of the competent person in the governmental entity to assign the authorised signatories that will open and operate the investment account, and the identification documents of such signatories.
iii) The approval of the Ministry of Finance (or its equivalent in the GCC member state) to open the investment account, unless there are legal provisions issued by the competent authority that explicitly give the right to such governmental entity to invest in securities.

Opening Investment Accounts for Investment Funds Established in the Kingdom or in a GCC member state

To open an investment account for an investment fund established in the Kingdom or in a GCC member state, Company may use the guidance list of documents provided in Annex (3) of these Instructions by obtaining copies of the documents and verifying them.

FATCA and CRS Compliance for Clients

All Tam Capital employees must read and be conversant with the Multilateral Competent Authority Agreement on Automatic Exchange of Financial Account Information (AEOI Agreement), Common Standard on Reporting and Due Diligence for Financial Account Information (CRS Agreement Enclosure) and Rules and Administrative Procedures for the Implementation of the Multilateral Competent Authority Agreement on Automatic Exchange of Financial Account Information and the enclosure of the Common Standard on Reporting and Due Diligence for Financial Account Information (CRS Rules & Procedures), ratified by Royal Decree n° M/125 of 1/12/1438 H., corresponding to 23/8/2017.

Compliance Department employees ensure that relationship managers are made aware of relevant new information which affects pre-existing accounts as required under CRS Agreement Enclosure Article 3 C(9).
Compliance Department ensure that relationship managers aggregate the value of all accounts that the relationship manager understands or should understand to be directly owned, controlled or opened by the same person in order to determine whether the value exceeds USD 1 million as required under CRS Agreement Enclosure Article 7 C(3).

Customers Suitability

Tam Capital will submit to the Customer a Suitability Report before it provides any advice in relation to potential Transactions. If the Company advises the Customer that a potential Transaction is not suitable pursuant to the Suitability Report and the Customer insists on executing such potential Transaction, then the Customer will provide to the Company, along with its Instruction, an acknowledgement confirming the Customer's understanding of Tam Capital's advice and the Customer bears all the risks arising from his/her investment decisions. It is required by regulation to comply with the provisions of Article 42 (Understanding Risk) and 43 (Suitability) of Capital Market Institutions Regulations.

Client Classification

All customers under Tam Capital should be classified as per Article 36 of CMIR
- Retail Investors (Individuals)
- Qualified Investors (Individuals)
- Institutional Investors

Client relation department responsible to classify the client's manually before opening the account and system will do the check on daily basis based on client's asset update
Any client open the account by online channel the system will classify as per actual clients asset
Business Department should accept all clients for any Company product as per the type of client classification as applicable based on CMA regulation

4. RESPONSIBILITIES

The account opening department is responsible to ensure complete and proper documentation when on-boarding a client.

The AML function is thereafter responsible for the following:

4.1 Know Your Customer

Tasks
Review the mandate documentation of recently established business relationships and ensures the Relationship Officer has:
○ Conducted Know Your Customer procedures for all beneficial owners of the account, power of attorney holders, or trustees.
○ Obtained from the customer information concerning customer's activity, financial situation, investment experience, and investment objectives relevant to the management of his investments
○ Obtained from the customer information about any existing relationship with another financial institution.
○ Obtained and verified the validity of official documents establishing the personal or commercial identity of the individual or legal entity.
○ Ascertained the accuracy of the information obtained such as name, address, signature, contact telephone numbers, and activity.
○ Obtained the following information for all commercial entities: • The financial structure of the business entity and its annual financial statements, where available, or an assessment for smaller establishments. • Names of owners, partners, shareholders (except for Joint Stock Companies), etc. • Types and nature of products and services the entity may be dealing in. • Description of geographical coverage where the business entity carries out its activities.
The MLRO shall then:
○ Prepare a detailed customer profile aimed at establishing source of funds (description of the origin and the means of transfer for monies that are expected for the investment account).
○ Prepare a customer transaction profile that includes expected transfers to his investment account during the period of a month, the number of expected transfers, and their estimated monetary value.

○ Make a written risk assessment of the customer and his account from a money laundering perspective taking into consideration the list of high-risk jurisdictions, high-risk businesses and high- risk products the customer may be dealing in.
○ Rate as a High Risk any customer to whom a high-risk category applies.
○ Identify as PEP or PEP-Related Individuals or a person close to PEP based on information received from the customer.
○ Verify such information if he has made any notation on any suspicions about any of the information being given by the customer.
○ Obtain information from other financial institutions if suspicions arise about their dealing with this customer.
○ Obtain Compliance Officer's approval to establish the relationship and appropriate authority has signed the agreements.
○ Obtained Chief Executive Officer's approval for customers assessed and rated as, PEP and PEP related individuals and a person close to PEP.
○ Register High-Risk, PEP and PEP-related individuals and a person close to PEP respectively in High-Risk Customers Register & PEP Register.
○ The register shall contain PEP name, PEP-Related Individual's name and a person close to PEP name, if applicable, account number, and the date the account was opened.

4.2 Controlling Account Activity

Tasks
○ Ensure Tam Capital has prepared a detailed customer profiling system using specialized software with the aim of applying KYC policies.
○ Ensure on a regular basis that the Relationship Officer has updated the customer's details with information obtained from the customer.
○ Reviews exception reports of transactions in the customer's investment account and most particularly accounts of PEP and PEP-Related Individuals and a person close to PEP, as well as High-Risk customers other than transactions executed by Tam Capital.
○ Ensures there are no abnormal, suspicious transactions, or transactions that respond to unusual patterns.
○ Assesses on an ongoing basis the consistency between the transaction profile and the actual transactions.
○ Calls the relevant department and obtains in writing the reasons justifying any deviation in the transactions pattern and trend.
○ Changes the rating of a High-Risk customer to a lower risk if the customer profiling is considered satisfactory.

5. AMENDMENT TO THE PROCEDURE

These procedures shall be reviewed periodically and updated atleast once in 3 years, or as and when needed, in line with the regulations and company policy with respect to account opening and AML-CTF measures.

ANNEXURE – KNOW YOUR CUSTOMER (KYC)

The following information will be obtained as part of investor KYC:

Personal Information		
	Education	
	Post Graduate	
	University	
	High School	
	Other	
	Profession	
	Business Man	
	Employee	
	Retired	
	Unemployed	
	Are you a director or an officer in public limited company	
	Yes	
	No	
	Self-Certification and Declaration (FATCA & CRS)	
	Do You have another nationality?	
	Yes	
	No	
Financial Information		
	Investor Type *	
	Retail Client	
	Qualified Client	
	Has conducted transactions in security markets of not less than 40 million Saudi riyals in total, and not less than ten transactions in each quarter during the last twelve months.	**Choose a file**
	Has net assets is not less than 5 million Saudi Riyals.	**Choose a file**
	Holds the General Securities Qualification Certificate which is recognized by the Authority.	**Choose a file**
	Works or has worked for at least three years in the financial sector.	**Choose a file**
	Hold professional certificate that is related to securities business and accredited by an internationally recognized entity.	**Choose a file**
	Non-resident foreigners permitted to invest in parallel market and who meet the requirements stipulated in the Guidance Note for the investment of Non-Resident Foreigners in parallel Market.	**Choose a file**

	Have you ever invested in high risk companies?	
	Yes	
	No	
	Approximate Net Worth (Excluding Residency): *	
	100,000 or less	
	100,001 - 300,000	
	300,001 - 600,000	
	600,001 - 1,500,000	
	1,500,001 - 5,000,000	
	5,000,001 – 10,000,000	
	10,000,001 – 50,000,000	
	Over 50,000,000	
	Approximate Annual Income (In SAR): *	
	100,000 or less	
	100,001 - 300,000	
	300,001 - 600,000	
	600,001 - 1,500,000	
	1,500,001 - 5,000,000	
	5,000,001 – 10,000,000	
	10,000,001 – 50,000,000	
	Over 50,000,000	
	The amount to be invested for each opportunity *	
	Enter amount here	
	The amount to be invested annually *	
	Enter amount here	
	Preferred sectors for investment	
	Select All	
	Energy	
	Industrials	
	Materials	
	Consumer Discretionary	
	Consumer Staples	
	Health Care	
	Financials	
	Information Technology	
	Communication Services	
	Utilities	
	Real Estate	
	What is the market value of the companies you prefer to invest in	
	Up To 15 MM	

	Up To 40 MM	
	Up To 75 MM	
	Up To 200 MM And Above	

FATCA & IRS

During the account opening process, the form enquires about second nationality. If ticked yes, it will enquire about the details and, if applicable, the FATCA form must be filled. This form explicitly states that FATCA is not applicable to customers who are not subject to it.